

What also happens with regularity is that a whole industry or sector is knocked down to bargain levels by exaggerated apprehensions. Whenever investors fear disaster for an industry, you can find sound companies, with little risk, at knocked-down prices.

There's no better example than the banking industry over the last dozen years or so. The big money center banks have been in continual trouble because of their willingness—nay, eagerness—to lend money to dubious credits. (In my opinion, “aggressive banker” should be an oxymoron, like “aggressive mistress.”) Back in 1982–83 the so-called sovereign loans were in the headlines. The banks kept rolling over the debts owed by tardy government borrowers like Argentina, Brazil, Poland, Zaire, and Mexico. (We were worried about a Mexican default in the first quarter of 1983 and we were worried about a Mexican default in the first quarter of 1995; the same old problems often return again and again.) Government defaults and refinancings were then compounded by shaky loans to shaky real estate developers and, to a lesser degree, leveraged buyout firms.

The big-city banks had brought real problems on themselves, no doubt of that. But the little bank in Wilmington, Delaware, or Honolulu that had no sovereign loans on its books and had been very careful in its real estate lending got tarred with the same brush of imprudence as the big international players. Its stock became markedly undervalued. We bought quite a few of those banks

The Credulous Tailor

While pondering the bad-loan headaches of the banking industry a few years back, I was able to locate a world-class loan rollover artist in the person of the Professor in *Sylvie and Bruno*, a book by Lewis Carroll, of *Alice* fame.